

Minnesota Medicaid Fraud: Timeline of Warnings and Enforcement

This timeline contrasts the early warning signs (audits, county complaints) with the delayed administrative and law enforcement actions, illustrating the cost of reactive oversight.

Early Warnings & Precursor Events

- **2003:** OLA audit finds DHS has not made controlling improper payments a priority.
- **2007:** OLA financial audit of HCBS finds DHS does not collect adequate financial documentation from providers.
- **Feb 2017:** OLA issues major evaluation of HCBS Financial Oversight. Warns that DHS relies on reactive complaints, lacks routine financial audits, and notes that 10% of providers account for 70% of payments. Recommends extending strict hour caps and documentation rules to all direct-care workers.
- **2017:** Minnesota becomes one of the first states to offer Medicaid coverage for EIDBI (autism) services.
- **2019:** OLA special review of Child Care Assistance Program (CCAP) finds DHS did not adequately identify fraud risk and had weak investigative processes statewide.
- **Jul 2020:** Minnesota launches Housing Stabilization Services (HSS), the first state to offer Medicaid coverage for this service.
- **2021:** Integrated Community Supports (ICS) program begins.
- **2023:** HHS-OIG inspects the MN MFCU (covering FY2020-2022) and notes the unit's director is the only supervisor, limiting oversight capacity.

The Fraud Escalation & Ignored Warnings (2023–2024)

- **Oct 2023:** Hennepin Health (county MCO) begins receiving feedback about HSS providers aggressively approaching members and offering money to sign up.
- **Dec 7, 2023:** MN AG announces charges against three individuals for nearly \$11 million in Medicaid fraud (the Promise Health Services case, operating out of a mailbox).
- **Mar 15, 2024:** Hennepin Health sends its first written complaint to DHS regarding Start Today Hennepin (STH), flagging identical, cloned service notes for every client.
- **Apr 2024:** County emails document HSS providers offering \$50 cash bribes to homeless individuals for referrals.

- **May 6, 2024:** Hennepin Health SIU Manager emails DHS OIG regarding kickbacks. A DHS OIG manager replies: “We’re flying blind on this so far...”
- **Jun 19, 2024:** MN AG announces charges against five individuals for >\$10 million in fraud (Promise Health Services update and Driving Miss Daisy NEMT case).
- **Jul 2024:** CMS issues its FY2023 Focused Program Integrity Review Final Report, identifying non-compliance in how Minnesota MCOs handle payment suspensions and fraud referrals.
- **Jul 2024:** Hennepin Health makes an official fraud referral to DHS for STH, documenting falsified records and billing for deceased clients.
- **Aug 2024:** Hearth Connection publishes a report on predatory HSS enrollment practices.
- **Oct 2024:** DHS finally begins EIDBI provider audits and on-site visits.
- **Nov 2024:** DHS OIG manager emails: “We all want to avoid housing services becoming the next poster child for government program fraud...”
- **Dec 2024:** Hennepin County begins banning multiple HSS providers; DHS allows them to continue billing other insurers.

The Crisis & Administrative Crackdown (2025)

- **Jan 2025:** Then-DHS Commissioner Jodi Harpstead tells a Senate hearing there are more “rumors of fraud” than actual fraud. She leaves her post shortly after.
- **Feb 2025:** Gov. Walz appoints Temporary Commissioner Shireen Gandhi to lead DHS.
- **Mar 2025:** DHS hires a new Inspector General, James Clark.
- **May 1, 2025:** KARE 11 publishes its first investigation into HSS fraud.
- **May 2025:** DHS officially designates EIDBI and HSS as “high-risk” services, triggering additional scrutiny. Legislation passes enacting stricter controls.
- **May 30, 2025:** HHS-OIG issues an audit finding that Minnesota failed to ensure CCAP providers complied with attendance requirements, resulting in improper payments.
- **Jul 2025:** State and federal agents raid 8 HSS-associated locations.
- **Aug 2025:** DHS announces the decision to terminate the HSS program effective Oct 31, 2025.
- **Sep 18, 2025:** First wave of federal HSS charges: IRS-CI announces wire fraud charges against 8 defendants for defrauding HSS.
- **Oct 2025:** DHS designates 9 additional Medicaid services as “high-risk” (bringing the total to 14).

- **Oct 2025:** DHS terminates 761 inactive provider agencies. Establishes pre-payment review and contracts with Optum for third-party claims data analytics.
- **Oct 31, 2025:** HSS program is officially shuttered due to rampant fraud.
- **Dec 5, 2025:** CMS demands a Corrective Action Plan (CAP) from Minnesota.
- **Dec 18, 2025:** IRS-CI announces charges against 6 additional defendants (HSS and EIDBI) and a guilty plea in the EIDBI scheme. A search warrant is executed regarding ICS fraud.
- **Dec 2025:** DHS pauses new licensing for HCBS and adult day care settings for two years.
- **Dec 31, 2025:** Minnesota submits its initial CAP to CMS.

The Federal Threat & “Revalidate 2026” (2026)

- **Jan 6, 2026:** CMS denies Minnesota’s initial CAP and threatens to withhold up to \$2 billion in Medicaid funding.
- **Jan 6, 2026:** OLA releases a performance audit of DHS Behavioral Health Administration Grants, citing fabricated documentation, overpayments, and multiple unresolved prior findings.
- **Jan 14, 2026:** Federal Register publishes a notice of opportunity for a hearing on Minnesota’s program integrity compliance.
- **Jan 2026:** DHS freezes provider enrollment for 13 Medicaid services.
- **Jan 30, 2026:** Minnesota submits a revised CAP.
- **Feb 25, 2026:** Federal officials announce a plan to defer \$259 million in Medicaid funding from Minnesota.
- **Mar 19, 2026:** CMS approves Minnesota’s revised CAP.
- **May 2026:** The Medical Assistance Protection Act (MAP Act) is signed into law, giving the MFCU stronger legal tools.
- **May 21, 2026: The Minnesota Health Care Fraud Takedown.** DOJ announces charges against 15 defendants for >\$90 million in fraud across EIDBI, ICS, IHS, HSS, and CCAP.
- **May 31, 2026:** Deadline for “Minnesota Revalidate 2026.” DHS completes the revalidation of ~5,583 high-risk providers. ~3,400 are disenrolled (mostly for incomplete data or failed site visits).
- **Jun 9, 2026:** DHS publishes final outcomes of the revalidation process.
- **Jun 23, 2026: National Health Care Fraud Takedown Day.** MN AG announces charges against 7 providers for >\$700,000 in false claims. DOJ announces national charges against

455 defendants, explicitly citing the Minnesota takedown as the catalyst for the national Medicaid enforcement expansion.